INTERNAL PITCH · OCTOBER 2026

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Sulphur.

The yellow trade into South Korea

What it is · what we can do as Kazakh & Uzbek nationals · good prices · where to buy · hidden risks

Cepa · Sulphur · HS 2503.00

Prepared by Trade Advisor for the team. All prices are estimates, not supplier quotes.

WHAT IS SULPHUR (CEPA)?

A by-product of oil & gas that feeds the world's fertilizer

01

Yellow element, S

Solid at room temperature, melts at ~115 °C. Traded as **lump**, **granular** (formed pellets), **liquid** (heated tankers) or **powder**.

02

Recovered, not mined

Over 90% is **recovered** when refineries and gas plants remove it from oil and gas. Supply follows oil & gas output, not demand.

03

Where it goes

About half becomes **sulphuric acid → phosphate fertilizer**. The rest: metal leaching (copper, nickel for batteries), chemicals, rubber vulcanization, agriculture.

04

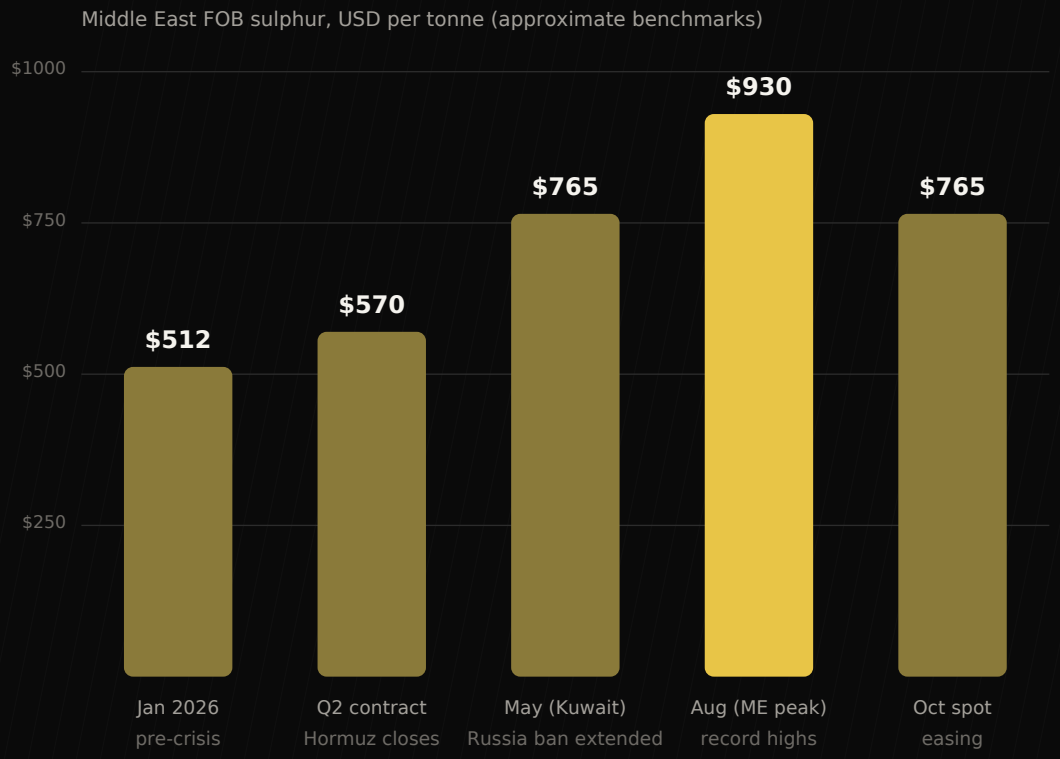
How it is coded

Customs code **HS 2503.00**. In Korea a **hazardous material** (Class 2 flammable solid): over 100 kg needs licensed storage.

Why it matters now: 2026 is a supply shock. The Strait of Hormuz is effectively closed, and Russia, Kazakhstan, India and Turkey restricted exports. Prices jumped from ~$500/t in January to $800–1,000/t mid-year. Shortage creates margin, and it will not last forever.

2026 PRICE SHOCK

Prices spiked on war and export bans, now easing



Supply is cut

Hormuz traffic at 2–7% of normal. Russia bans exports to 31 Dec 2026. Kazakhstan suspended exports on 27 Jun 2026. India and Turkey restrict too.

Korea is a net exporter

S-Oil, SK and GS Caltex produce sulphur at home (~$826/t delivered locally). That is the price we must beat.

Direction: down

October contracts fell $45–70 vs September. Analysts expect normalisation in 2027. Never hold unsold stock.

WHAT WE CAN DO AS KAZAKH & UZBEK NATIONALS

Our passports and languages open doors others cannot

Kazakhstan citizens

- Russian/Kazakh language: direct talks with Tengiz, Kashagan and traders
- Ready the day the Kazakh export ban lifts: cheapest CIS lane (~$905/t delivered)
- Can buy on the Turkmen commodity exchange (Kazakh buyers have before)
- EAEU know-how: rail, customs and transit through Kazakhstan and Russia

Uzbekistan citizens

- Uzbek exports must be made by an **Uzbek resident exporter**: an Uzbek colleague can register that company
- Access to Uzbekneftegaz / Mubarek (150 kt/yr granular sulphur) and the UzEx exchange
- Open source today: no 2026 export ban found (still to be confirmed officially)
- Uzbek origin pays 2% Korean duty (non-WTO): budget for it

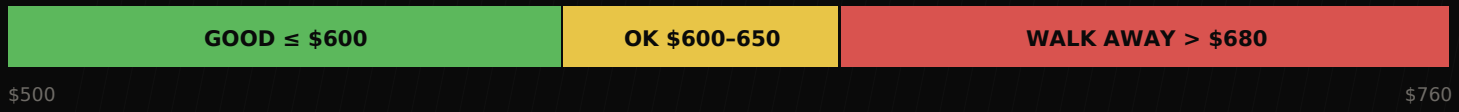
In South Korea (both)

- Business allowed on visas **F-2, F-4, F-5, F-6, D-8, D-9**. D-2, D-10, E-9, H-2: introducer only
- Setup: business registration (Hometax) → customs code (UNI-PASS) → trade number (KITA, free)
- Chemicals: K-REACH coverage at ≥ 1 t/yr + chemical confirmation per import
- We already have **client leads** in Korea: demand is the hardest part

WHAT PRICES ARE GOOD?

Know three numbers before any call

BUY · CIS rail station (FCA), per tonne



SELL · delivered to Korean client, per tonne



$740–790
Middle East FOB spot, 22 Oct 2026

~$826
Korean refiners, delivered locally (our ceiling)

~$859
Best import: China, delivered Busan

$280/t
Minimum gap sell − buy for 10% margin (containers)

Rule of thumb: profit per tonne = sale price − buy price − ~$200 logistics (containers) or ~$125 (bulk, 3,000 t+). Every **$50/t** more from the client adds **~$50,000** per 1,000 t.

WHERE TO LOOK FOR SUPPLY

Open today, watch closely, or avoid

OPEN: START HERE

China
best margin, 3 days to Busan, scarce export volumes

Japan · Taiwan
refinery sulphur, 3–4 days, get FOB quotes

Uzbekistan
best CIS, rail via KZ + China, ~30 days

Turkmenistan
state exchange, confirmed foreign buyers in Oct 2026

Oman · Singapore
Oman outside Hormuz; Singapore: check true origin

WATCH: MAY OPEN

Kazakhstan
export ban since 27 Jun 2026; reports of lifting unconfirmed

Russia
ban to 31 Dec 2026; sanctions & payment risk remain

Gulf (UAE, Qatar, Saudi, Kuwait)
huge supply, blocked by Hormuz crisis

USA · Canada · Malaysia
open but long haul, currently at a loss

AVOID

Iran · Belarus
sanctions

India · Turkey
export restrictions in 2026

Kyrgyzstan
no production; Kazakh-origin stock = ban circumvention risk

Azerbaijan
tiny volumes, very long route

TOP 3 ROUTES BY PROFIT

1,000 t lot, delivered Busan → client at $900/t

1 China

Truck to Qingdao/Lianyungang/Shanghai → container to Busan

DELIVERED	TRANSIT
$859/t	~3 days

PROFIT 1,000 T	AT $950/T
$40,918	$90,918

PER YEAR (12 × 1,000 T)	PRICE FOR 10% MARGIN
$491,021	$955/t

2 Japan

Japanese port (Osaka/Kobe/Moji) → container to Busan

DELIVERED	TRANSIT
$881/t	~3 days

PROFIT 1,000 T	AT $950/T
$19,486	$69,486

PER YEAR (12 × 1,000 T)	PRICE FOR 10% MARGIN
$233,832	$978/t

3 Taiwan

Kaohsiung/Taichung → container to Busan

DELIVERED	TRANSIT
$889/t	~4 days

PROFIT 1,000 T	AT $950/T
$11,130	$61,130

PER YEAR (12 × 1,000 T)	PRICE FOR 10% MARGIN
$133,558	$988/t

Best CIS lane: Uzbekistan: delivered $913/t, −$12,989 at $900/t but $37,011 at $950/t. CIS works when the client pays ≥ ~$1,014/t.

HIDDEN RISKS (ПОДВОДНЫЕ КАМНИ)

What can sink this deal, and how we protect ourselves

Bans change overnight 01

KZ, RU, IN, TR all restricted exports in 2026.
→ Contract with force-majeure + two suppliers.

Korea makes its own 02

Local refiners sell at ~$826/t.
→ Win on grade, volume or reliability, not just price.

Prices are falling 03

Contracts down $45–70 in Oct; 2027 normalisation.
→ Back-to-back only: never stock.

Small lots lose 04

1–10 t pay ~$1,200/t in fixed costs.
→ Minimum 500 t per deal, or broker.

Hazmat rules 05

Class 2 flammable solid; >100 kg needs licensed storage.
→ Port → client direct delivery.

Chemical registration 06

K-REACH at ≥ 1 t/yr; chemical confirmation each import.
→ Supplier's Only Representative.

Fake origin / sanctions 07

Trader stock may be Kazakh, Iranian or Russian origin.
→ Check origin certificate, not seller.

Commodity scams 08

Fake offers with ‘SGS’, ‘ICPO/FCO’ chains and advance fees.
→ Never pay upfront; verify producer directly.

Quality disputes 09

Purity, moisture, ash, acidity vary by plant.
→ Spec ≥ 99.5% S + SGS inspection at loading.

Transit & freight 10

Rail bans, border queues, war-risk surcharges.
→ Fixed forwarder quote + insurance.

Payment risk 11

Client delays or defaults.
→ Letter of credit at sight from client.

Visa limits 12

Some visas forbid running a business.
→ Check visa; else partner company imports.

HOW WE START

Low risk first, capital only when the numbers work

NOW

Broker

Introduce Korean clients to verified suppliers for 1–3% commission. ~$9–27k on 1,000 t. No capital, no hazmat risk.

30 DAYS

Validate

Get client volume, grade and current price in writing. Get FOB/FCA quotes from China, Japan, Uzbekistan and Turkmenistan + two forwarder quotes.

60 DAYS

First trade

500–1,000 t in containers, back-to-back, client LC at sight, buy ≤ $600/t CIS or best Asian FOB.

90+ DAYS

Scale

Monthly contract; 3,000 t+ bulk to a fertilizer or acid plant (10–16% margin). Ready for Kazakh supply when the ban lifts.

The one question that decides everything: what do our Korean clients pay today, and how many tonnes per month? ~1,000 t/month at ≥ $950/t = a real business. 10–50 t at a time = broker only.